

2.3 WHAT IS FORWARD CONTRACT ?

Let us understand this whole working of a forward contract with a practical example.

Imagine you are a farmer growing wheat on your farm. Now, there is a fair probability that by the time your crop is ready to be sold (say 3 months from today) the price might go down from its current rate of ₹50/kg. As a farmer, you do not want that. You cannot or do not wish to take the risk of price uncertainty in the market. You are afraid that you might have to sell your wheat at a lower price as you predict that the price is going to fall.



WHEAT FARM

(WHEAT TO BE SOLD IN
3 MONTHS FROM NOW)